TATA CONSULTANCY SERVICES



COMPREHENSIVE FINANCIAL ANALYSIS (2025)

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PAGE 1: ANALYSIS OF PROFITABILITY AND CORE BUSINESS HEALTH

ANALYSIS OF PROFITABILITY AND CORE BUSINESS HEALTH

This page focuses on the company's ability to generate profits from its primary operations and its overall efficiency.

CORE FINANCIAL PERFORMANCE

The scale of TCS's operations is significant, with Sales reaching **255,324** CR. The key to its strength lies in the conversion of these sales into high-quality profits.

Item	Value (CR)	Financial Interpretation
Sales	255,324	Represents the total revenue generated. Its size underscores the company's market dominance.
Operating Profit (EBIT)	67,407	The profit derived purely from the IT services business before non-operating charges. This large figure indicates excellent operational control and cost management.
Net Profit	48,797	The final, bottom-line profit available to shareholders. This conversion from a high operating profit shows that non-core costs (like interest and taxes) are

Item	Value (CR)	Financial Interpretation
		managed effectively, or are simply not a burden.

PROFITABILITY RATIOS

TCS exhibits best-in-class profitability metrics, which are often benchmarks for the IT industry.

Operating Profit Margin: 26.40%

Interpretation: This is a strong indicator that the company has a sustainable competitive advantage (a moat), allowing it to either command premium pricing or achieve superior scale efficiencies over competitors. It suggests the core service delivery model is highly efficient.

Net Profit Margin: 19.11%

Interpretation: For every 100 rupees of revenue, 19.11 rupees are retained as final profit. This high margin confirms that the company's profits are not significantly eroded by tax or interest payments, reinforcing its financial strength.

RETURN ON ASSETS (ROA)

ROA: 30.76%

Interpretation: The company generates over 30 cents of net profit for every dollar of assets it owns. For a service-based firm, this is an exceptionally high level of asset efficiency. It demonstrates that TCS is capital-light and does not tie up large amounts of funds in physical assets, allowing it to generate superior returns from its existing asset base.

PAGE 2: ANALYSIS OF LIQUIDITY AND FINANCIAL STABILITY

ANALYSIS OF LIQUIDITY AND FINANCIAL STABILITY

This page assesses the company's ability to meet its short-term obligations (liquidity) and its long-term financial structure (solvency).

LIQUIDITY RATIOS (SHORT-TERM HEALTH)

Liquidity is robust, ensuring the company can comfortably handle its immediate cash needs.

Ratio	Value	Calculation	Financial Interpretation
Current Ratio	2.32	Current Assets / Current Liabilities	With 2.32 times more Current Assets (123,012 CR) than Current Liabilities (53,001 CR), the company has strong short-term solvency and a low risk of default on near-term obligations.
Quick Ratio	2.32	(CA - Inventory) / Current Liabilities	Since the Inventory (21 CR) is negligible, this ratio is virtually identical. This is critical, as it confirms that the company's excellent liquidity is not dependent on the slow process of selling inventory, but on fast-moving, highly liquid assets.
Cash Ratio	0.29	Cash / Current Liabilities	The company's immediate Cash (15,463 CR) alone can cover nearly a third of all its current liabilities, providing a significant cash buffer.

SOLVENCY AND LEVERAGE (LONG-TERM HEALTH)

The solvency profile is one of extreme conservatism and low risk.

Debt Ratio: 6.84%

Interpretation: Only 6.84% of the total assets (158,649 CR) are financed by Total Debts (10,857 CR). This is an extremely low figure for a large corporation, indicating that the vast majority of the company's assets are financed by equity (retained earnings). This structure minimizes the company's exposure to interest rate risk and credit risk.

Interest Coverage Ratio: 83.07 times

Interpretation: The operating profit can cover the annual Interest expense (796 CR) over 83 times. This ratio is outstanding and confirms that debt servicing is entirely trivial to the company's finances.

PAGE 3: CAPITAL STRUCTURE ANOMALY AND CONCLUSION

CAPITAL STRUCTURE ANOMALY AND CONCLUSION

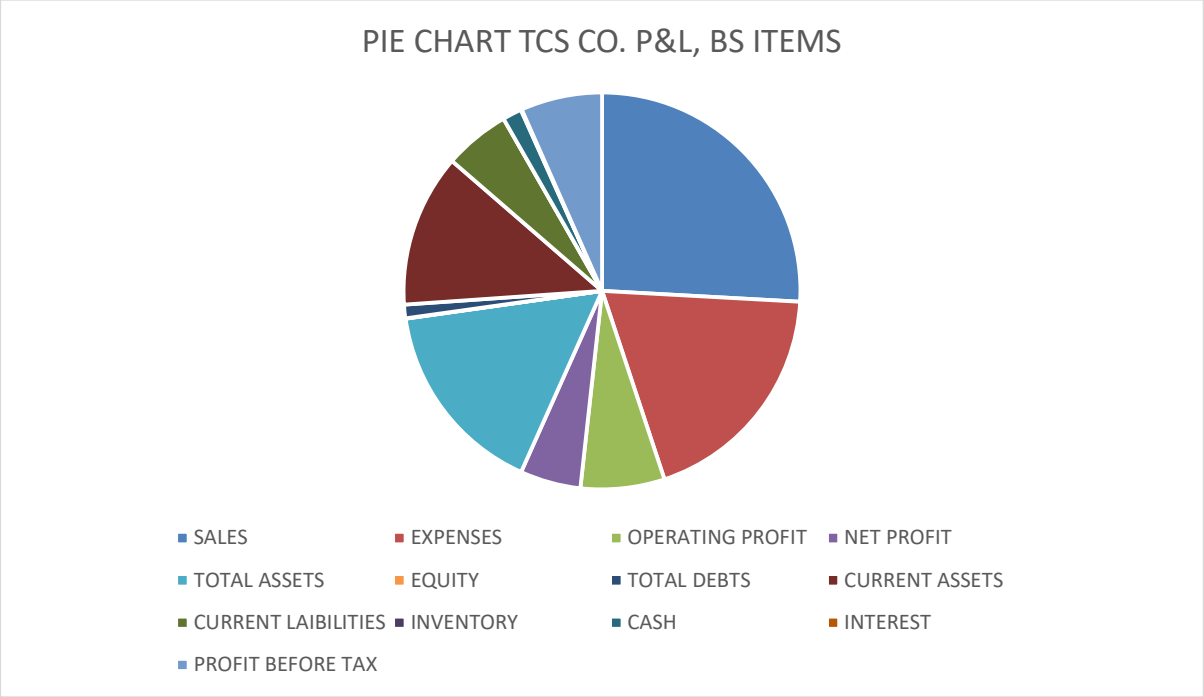
This page addresses the unusual equity-based ratios and concludes the overall financial assessment.

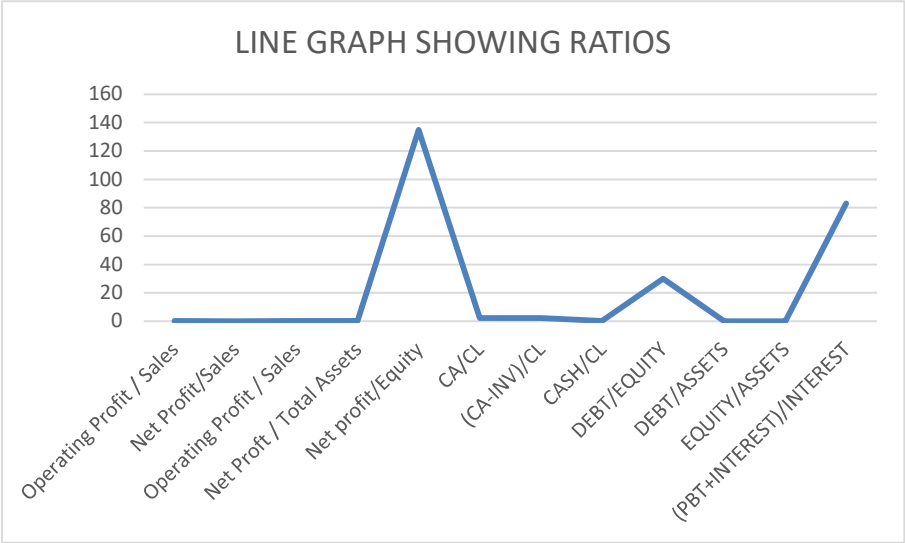
THE EQUITY RATIO ANOMALY

The data presents an anomaly in ratios where Equity (362 CR) is the denominator. This is a common situation for companies that have operated for a long time and chosen to finance growth primarily through retained earnings rather than issuing new share capital.

Ratio	Value	Financial Interpretation
Return on Equity (ROE)	13,479.8%	While technically correct (Net Profit / Equity), this sky-high figure is misleading for valuation purposes. It confirms that the Net Profit is vastly larger than the stated Equity base. In economic terms, it simply means the company generates enormous returns on its nominal shareholder capital.
	29.99	This ratio (Debt/Equity) appears high, suggesting high leverage.

VISUALISATION





OVERALL FINANCIAL CONCLUSION

Based on the analysis, TCS is a company with a financial profile by excellence across all major categories:

characterized

Category	Assessment	Key Evidence
Profitability	Exceptional	High Net Profit Margin (19.11%) and ROA (30.76%).
Efficiency	Superior	Low Inventory and high Operating Profit Margin show operational mastery.
Liquidity	Strong	Current Ratio of 2.32 provides a large safety margin for short-term obligations.
Solvency	Extremely Low-Risk	Debt Ratio of 6.84% and Interest Coverage of 83.07 confirm virtually no financial leverage risk.

In summary, TCS possesses the financial characteristics of a market leader that is highly profitable, extremely liquid, and operates with a very conservative, stable, and low-risk capital structure.